INSURANCE AND PENSIONS COMMISSION

FOURTH QUARTER REPORT

FOR

SELF ADMINISTERED PENSION FUNDS

FOURTH QUARTER ENDED 31DECEMBER 2014

1.0 Table of Contents

2.0 Industry Overview

This report is based on returns submitted by14 standalone funds, 4 fund administrators and 4 life insurers for the year under review.

For the current reporting period, self-administered funds reported a 29% growth in contributions to close the year 2014 at$505million (December 2013:$392million).However57% or $285million of the contributions were in arrears (December 2013:43% or $170million).This reflects a challenging environment in which sponsoring employers are operating. The Commission implores employers to remit deducted contributions as failure to do so is illegal and fraudulent.

The fund administrators' industry reported total contributions received in the sum of $220million (December 2013:222million) and total expenditure (net of benefits) of $58million reflecting a 26% contribution to expense ratio net of arrears. Benefits disbursements amounted to$123million from $99million paid in the comparative period last year.

Total assets grew by 15%from $1,8billion reported in 2013to $2,1billionas at 2014 year-end. Funds invested 4% of their assets in prescribed assets which is far below the expected 10% as per current regulatory requirements (See Table 2.2below).

2.2 Financial Summary for Self-Administered Funds for the year ended 31December 2014

Item	Standalone Funds			Insurer Administered			Fund Administrators			TOTALS		
	Dect 2013	Dect 2014	%	Dec 2013	Dec 2014	%	Dec 2013	Dec 2014	%	Dec 2013	Dec 2014	%
Arrear Contributions ($000)	124,134	220,921	78	20,974	35,361	69	24,917	28,651	15	170,025	284,933	68%
Total Contributions (Incl.Arrears)($000)	215,635	317,656	47	69,474	85,420	23	106,854	102,084	-4	391,963	505,160	29%
Total Contributions (Excl. Arrears) ($000)	91,501	96,735	6	48,500	50,059	3%	82,027	73,433	-10	222,028	220,227	-1%
Total Income ($000)	153,318	146,479	-4	80,584	52,786	-34	120,640	101,874	-16	354,542	301,139	-15%
Total Benefits	58,342	64,075	10	18,827	18,274	-3	21,850	40,580	86	99,019	122,929	24%
Total Expenses ($000)	17,026	20,289	19	15,562	11,391	-27	18,762	26,506	41	51,350	58,186	13%
Net Income($000)	77,950	62,115	-20%	46,195	23,121	-50%	80,028	34,788	-57%	204,173	120,024	-41%
(Expense/Contributions)%	19%	21%	2%	32	23	-9	23%	36	13%	32	59	84%
(Expense/Total Income)%	11	14%	3	19	22	3	16	26	10%	46	48	4%
Total Assets ($000)	1,140,255	1,284,626	13%	255,093	309,056	21	432,716	511,500	18%	1,828,064	2,105,182	15%
Prescribed Assets ($000)	21,804	30,862	42%	4,646	15,272	229	6,392	35,761	459%	32,842	81,895	149%
Prescribed Asset Ratio (%)	2	2	-	2	5	3	2	7%	5%	2%	4	2%

SECTION A

STAND ALONE FUNDS

3.0 The Number ofStandalone Self-Administered Pension Funds

This report is based on 14 standalone funds (See Table 1, below). Funds which failed to submit their returns on time were fined in terms of the Act.

Table 1: StandaloneSelf-Administered Pension Funds

Fund Name	Dec 2014
Catering Industry Pension Fund	1
Clothing Industry Pension Fund	1
Communication and Allied P/Fund	1
Construction Industry P/Fund	1
Local Authorities Pension Fund	1
Mining Industry Pension Fund	1
NRZ Pension Fund	1
Pentact Pension Scheme	*
ZB Financial Holdings P/Fund	1
ZMDC	1
ZESA Pension Fund	1
GMB	1
Zimpapers	1
Motor Industry	1
Specialised Business Machines	1
Unified Councils Pension Fund	*
TOTALS	14

***Returns not submitted**

4.0Pension Fund Membership

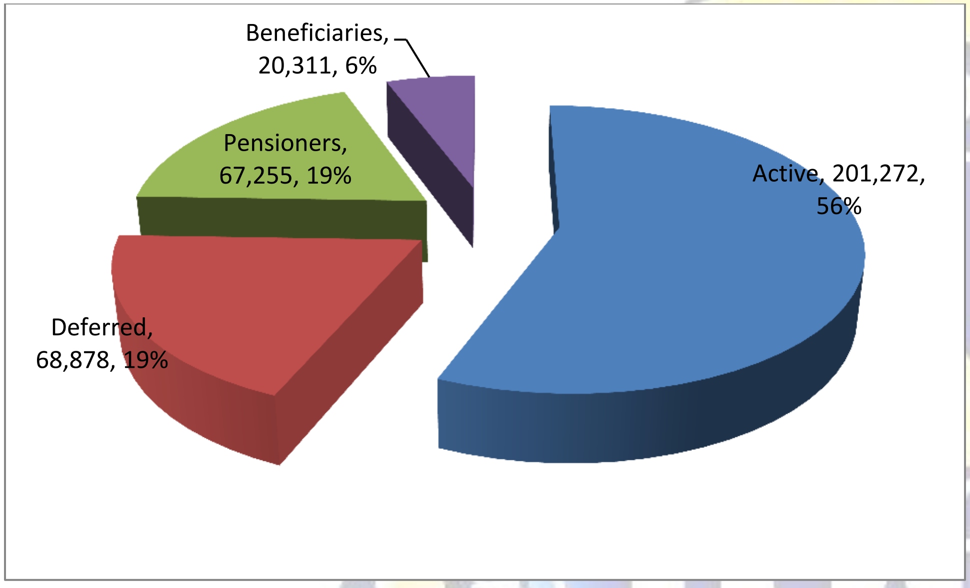
Total fund membership from the prior year remained static suggesting a challenging employment environment .Active members contributed 56% or 201 000(December 2013:57%), deferred pensioners increased by 5% to 69 000 or 19%(December 2013:18% or 66 000) .Similar to last year,pensioners numbered 67 000 or 19% whilst the balance of 4% or 20000 were beneficiaries (See Table 2 and Figure 1, below).

Table2: Membershipper Standalone Fund for the year ended 31 December 2014

Fund Name	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth
Catering IPF	17,018	14,690	-14%	717	160	-78%	48,732	46,074	-5%	-	0	-	0	0	-	66,467	60,924	-8%
Clothing IPF	12,421	12,025	-3%	9,922	10,977	11%	0	525	#DIV/0!	0	0	-	-411	835	-303%	22,343	23527	5%
CAIPF	3,424	3,278	-4%	4,093	4,181	2%	1,321	1,452	10%	2,850	2,887	1%	-230	-172	-25%	11,688	11,798	1%
CIPF	57,700	60,509	5%	5,438	5,772	6%	61	78	28%	113	115	2%	-548	-652	19%	63,312	66,474	5%
LAPF	19,989	19,472	-3%	0	0	-	4,159	4,377	5%	7,664	7,434	-3%	-154	-45	-71%	31,812	31,283	-2%
MIPF	29,770	28,179	-5%	41,450	43,445	5%	7,396	8,190	11%	1,243	1,298	4%	-2352	-3500	49%	79,859	81,112	2%
NRZ	6,999	6,593	-6%	1,829	1,944	6%	5,486	5,053	-8%	8,711	7,647	-12%	-200	-77	-62%	23,025	21,267	-8%
Pentact	4	*	-!	-	*	-	-	*	0	-	*	-	-	*	-	4	*	-
ZB FHGPF	993	678	-32%	838	864	3%	144	306	113%	897	174	-81%	-84	-507	504%	2,872	2,022	-30%
ZESA PF	6,623	6,735	2%	0	0	-	254	360	42%	120	146	22%	0	0	-	6,997	7,241	3%
GMB	2,043	1,992	-2%	699	694	-1%	21	27	29%	0	0	-	-42	-21	-50%	2,763	2,713	-2%
Zimpapers	950	992	4%	834	840	1%	487	491	1%	502	495	-1%	-3	-7	133%	2,773	2,819	2%
Motor Ind	45,674	45,936	1%	0	0	-	189	260	38%	41	36	-12%	0	0	-	45,904	46,232	1%
ZMDC	188	187	-1%	-	0	-	62	62	0%	78	79	1%	-4	0	-100%	328	328	0%
SBM	*	6		*	1		*	0		*	0		*	0		0	7	
Totals	**203,796**	**201,272**	-1%	**65,820**	**68,878**	5%	**68,312**	**67,255**	-2%	**22,219**	**20,311**	-9%	-4028	-4146	-3%	360,147	357,747	-1%

***Returns not submitted**

Figure 1: Membershipfor Standalone Funds for the year ended 31 December 2014



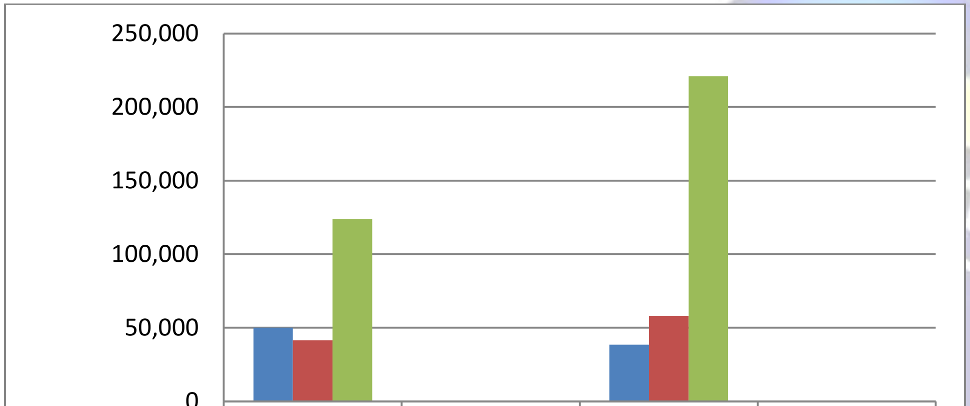
5.0 Contributions

Employers contributed $58million or 18% of total contributions (December 2013:19% or $41million) whilst active members paid $39million or 12% of total contributions (December 2013:23% or $50million). The Commission, however, noted that 70% of total contributions or $221million was made up of arrears (December 2013:58% or $124million) which employers attribute to liquidity and viability challenges in the economy which has inhibited employers' ability to meet statutory and operational obligations.IPECwill continue to engage stakeholders in an effort to come up with a feasible solution (See Table 3and Figure 2, below).

Table 3: Contributions Statisticsper Standalone Fund for theyear ended 31December 2014

	Contributions(000)						Arrear Contributions(000)						Total Contributions(000)		
	Members			Employers			Members			Employers					
	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec 14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth
Catering IPF	1,242	1,138	-8%	1,242	1,138	-8%	-	0	-	381	0	-100%	2,865	2,276	-21%
Clothing IPF	620	593	-4%	868	830	-4%	334	438	31%	807	1,067	32%	2,629	2,928	11%
CAIPF	1,870	1,666	-11%	5,611	5,000	-11%	1,528	2,872	88%	5,840	14,417	147%	14,849	23,955	31%
CIPF	2,226	1,825	-18%	2,226	1,825	-18%	-	0	-	288	384	33%	4,740	4,034	-15%
LAPF	19,816	7,464	-62%	6,844	21,379	212%	-	0	-	95,237	169,002	77%	121,897	197,845	62%
MIPF	15,446	16,103	4%	15,446	16,115	4%	-	195	-	1,216	836	-31%	32,108	33,249	4%
NRZ	3,623	3,513	-3%	-	0	0		0	-	-	0	-	3,623	3,513	-3%
Pentact	1	*	0	1	*	0		*	-	-	*	-	2	*	0
ZB FHGPF	834	2,002	140%	1,274	2,936	130%	-	0	-	-	0	-	2,108	4,938	134%
ZESA PF	2,051	1,781	-13%	3,346	3,784	13%	3,494	4,313	23%	5,701	14,731	158%	14,592	24,609	69%
GMB	475	400	-16%	1,817	1,724	-5%	166	515	210%	1,695	3,163	87%	4,153	5,802	40%
Zimpapers	443	399	-10%	621	559	-10%	1,811	249	-86%	2,536	4,415	74%	5,411	5,622	4%
Motor Ind	1,350	1,633	21%	2,025	2,781	37%	713	686	-4%	1,812	2,510	39%	5,900	7,610	29%
ZMDC	36	42	17%	147	102	-31%	-	0	0	575	1,128	96%	758	1,272	68%
SBM	-	1	#DIV/0!	-	2	-	-	-	0		-	0	0	3	0
Total	50,033	38,560	-23%	41,468	58,175	40%	8,046	9,268	15%	116,088	211,653	82%	215,635	317,656	47%

Figure 2: Contribution Statistics per Standalone Funds for the year ended 31 December 2014 ($000)



	Dec,13	share(%)	Dec,14	share(%)
Members	50,033	23%	38,560	12%
Employers	41,468	19%	58,175	18%
Arrear Contr	124,134	58%	220,921	70%

6.0 Income and Expenditure

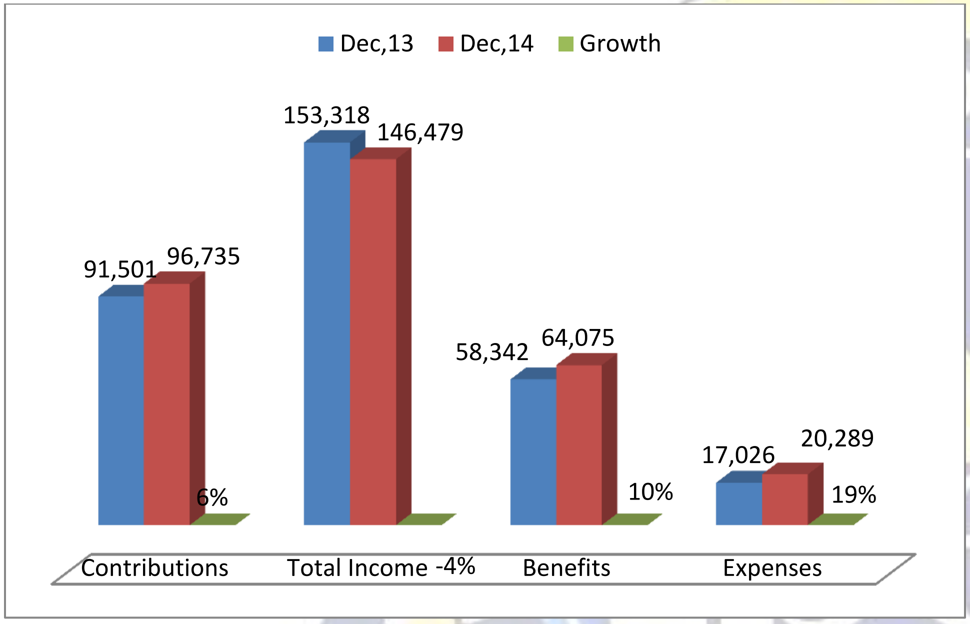
For the year under review, total contributions received by Standalone funds were $97million against an expense bill of $20million which resulted in a cost to contribution ratio of 22%.

Benefits expenditure reportedly amounted to $64million ,a 10% growth from $58million in the prior year .The Commission will continue to stress to pension funds to cut on their expenses in a bid to promote member benefits (See Table 4 and Figure 3 below).

Table 4: Income and Expenditure per Standalone Fund for the year ended 31 December2014($000)

Fund Name	Total Contributions(Excl arrears)(000)			Total Income (000)			Total Paid Benefits(000)			Expenses(000)			(Expenses/Contributions)			(Expenses/Total Income)%		
	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth
Catering IPF	2,484	2,276	-8%	3,630	3,483	-4%	560	826	48%	1,354	1,334	-36%	55%	59%	4%	37%	38%	1%
Clothing IPF	1,488	1,423	-4%	2,704	2,860	45%	680	662	-3%	815	1,360	67%	55%	96%	41%	30%	48%	18%
CAIPF	7,481	6,666	-11%	24,503	14,171	8%	11,671	10,311	-12%	1,834	4,156	127%	25%	62%	37%	7%	29%	21%
CIPF	4,452	3,650	-18%	6,493	3,739	-42%	664	1,072	61%	2,545	2,188	-14%	57%	60%	3%	39%	59%	20%
LAPF	26,660	28,843	8%	35,281	36,812	4%	12,044	13,330	11%	2,341	2,173	-7%	9%	8%	-1%	7%	6%	-1%
MIPF	30,892	32,218	4%	40,699	43,225	7%	12,549	15,452	23%	2,977	3,545	19%	10%	11%	1%	7%	8%	1%
NRZ	3,623	3,513	-3%	20,811	18,631	-10%	17,251	16,646	-4%	2,001	2,268	13%	55%	65%	10%	10%	12%	2%
Pentact	2	*	-	7	*	0	-	*	0	-	*	0	-	-	0	-	-	-
ZB FHGPF	2,108	4,938	134%	0	6,315	0		1,501	0	na	202	0	-	4%	-	-	3%	-
ZESA PF	5,397	5,565	3%	5,665	7,362	30%	235	339	44%	431	501	16%	8%	9%	1%	8%	7%	-1%
GMB	2,292	2,124	-7%	2,741	2,720	-1%	48	51	6%	916	814	-11%	40%	38%	-2%	33%	30%	-3%
Zimpapers	1,064	958	-10%	1,538	1,305	-15%	634	736	16%	486	485	0%	46%	51%	5%	32%	37%	5%
Motor Ind	3,375	4,414	31%	8,529	5,466	-12%	1,744	2,980	71%	1,254	1,222	-3%	37%	28%	-9%	15%	22%	7%
ZMDC	183	144	-21%	717	386	15%	262	169	-35%	72	41	-43%	39%	28%	-11%	10%	11%	1%
SBM	*	3	#DIV/0!	*	4	0		0	0	-	0	0	-	0%	0	-	0%	-
Totals	91,501	96,735	6%	**153,318**	**146,479**	-4%	**58,342**	**64,075**	10%	**17,026**	**20,289**	19%	19%	21%	2%	11%	14%	**3%**

Figure 3: Income and Expenditure for Standalone Funds for the year ended 31 December 2014($000)



7.0 Fund Assets

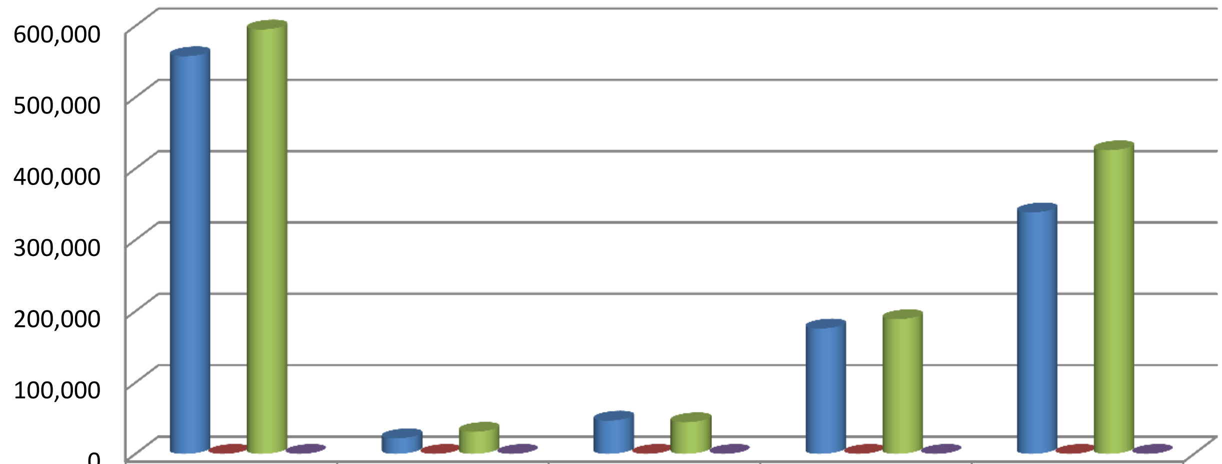
As at the year ended 31 December 2014, assets for Standalone funds were invested as follows- properties 46% or$595 million{ December 2013 49% or $557million}, equities –15% or $189million {December 2013,15% or $176million}, money market -3% or $44million {December 2013:$47million or 4%} and other assets -33% or $426 million{December 2013:30% or $339million}.

The pensions industry is encouraged to continue complying with actuarial as well as regulatory guidelines in asset liability matching (See Table 5 and Figure 4, below).

Table 5: Fund AssetsMarketValueper Standalone Fund as at 31 December 2014($000)

Fund Name	Immovable Property($000)			Prescribed Assets($000)			Money Market Securities($000)			Capital Market Securities($000)			Other($000)			Total($000)		
	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth
Catering IPF	6,407	8,636	35%	46	102	122%	129	0	-100%	4,850	4,862	0%	1,856	856	-54%	13,288	14,456	4%
Clothing IPF	11,100	10,845	-2%	220	393	79%	1,273	1,350	6%	3,759	4,153	10%	1,239	1,575	27%	17,591	18,316	6%
CAIPF	85,221	84,921	0%	5,833	6,245	7%	8,643	5,814	-33%	20,598	18,985	-8%	25,995	39,002	50%	146,290	154,967	1%
CIPF	12,366	11,923	-4%	66	316	379%	-	0	0	6,459	5,851	-9%	3,935	4,886	24%	22,826	22,976	17%
LAPF	68,839	82,165	19%	-	0	0	-	0	0	38,661	34,374	-11%	99,697	126,781	27%	207,197	243,320	0%
MIPF	100,422	102,096	2%	6,807	9,333	37%	5,559	6,739	21%	62,212	57,117	-8%	2,003	1,411	-30%	177,003	176,696	1%
NRZ	231,072	227,580	-2%	507	2,642	421%	17,773	11,708	-34%	14,566	17,064	17%	160,505	171,290	7%	424,423	430,284	0
Pentact	-	*	0	-	*	0	-	*	0	7	*	0	225	*	0	232	*	326%
ZB FHGPF	4,009	16,137	303%	7,279	3,574	-51%	10	6,700	66900%	6,593	26,303	299%	14	23,480	167614%	17,905	76,194	41%
ZESA PF	19,163	28,696	50%	400	3,382	746%	6,000	6,800	13%	4,580	4,940	8%	30,657	42,068	37%	60,800	85,886	30%
GMB	8,599	9,478	10%	-	0	0	5	30	500%	34	7	-79%	2,225	4,559	105%	10,863	14,074	3%
Zimpapers	2,394	2,248	-6%	13	7	-46%	11	100	809%	1,096	1,069	-2%	4,442	4,756	7%	7,956	8,180	15%
Motor Ind	6,258	8,660	38%	633	3,329	426%	6,660	4,429	-33%	12,247	13,872	13%	3,818	3,732	-2%	29,616	34,022	23%
ZMDC	1,574	1,574	0%	-	1,543	0	616	643	4%	121	194	60%	1,954	1,280	-34%	4,265	5,234	0
SBM		0	0		2	0		9	0		10	0	0	-	-		21	13%
Totals	557,424	594,959	7%	21,804	30,868	42%	46679	44,322	-5%	175,783	188,801	7%	338,565	425,676	21%	1,140,255	1,284,626	13%

Figure 4: Fund Asset Values for Standalone Funds as at 31 December 2014$(000)



	Property	P.Assets	Money Mkts	Capital Mkts	Other
Dec,13	557,424	21,804	46679	175,783	338,565
% share	49%	2%	4%	15%	30%
Dec,14	594,959	30,868	44,322	188,801	425,676
% share	46%	2%	3%	15%	33%

SECTION B:

INSURER ADMINISTERED FUNDS

1.0 The Number of Insurer Self-Administered Pension Funds

This report covers 31 funds administered by 4insurers (See Table 1, below).

Table 1: Fund Administrators

Insurer	Dec 2013	Dec 2014	Increase Funds
First Mutual	5	4	(1)
Old Mutual	24	25	(1)
Altfin	1	*	
Zimnat	2	2	**0**
TOTALS	**32**	**31**	**(1)**

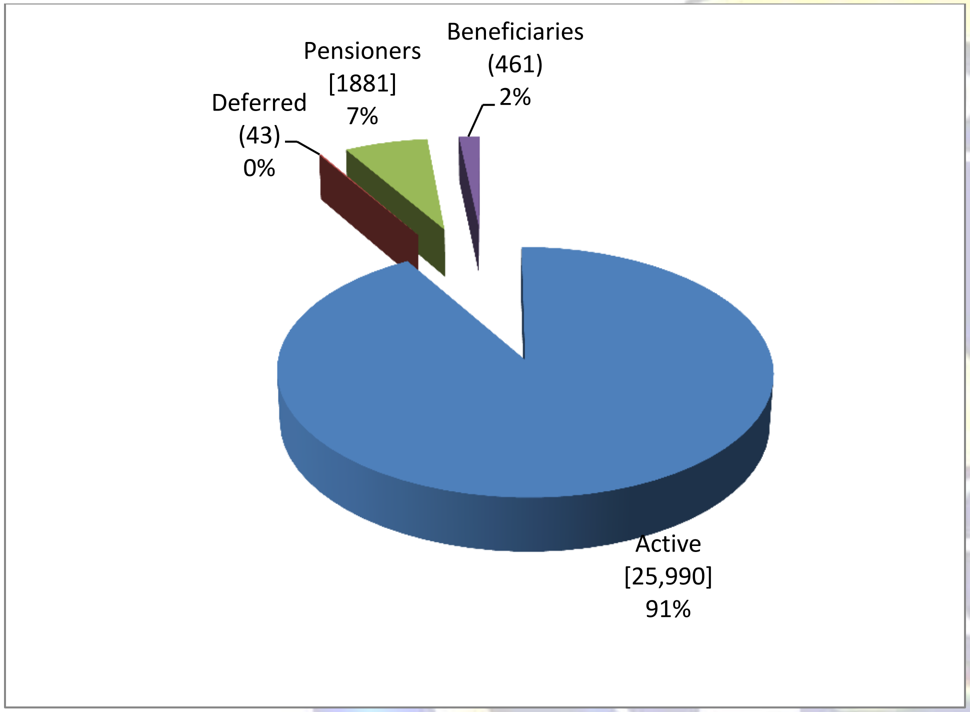
2.0 Pension Fund Membership

For the year ended 31 December 2014, total fund membership for insurer administered funds was 28000 (December 2013:31 000), an 8% decline from the previous year. Active members numbered 26 000 or 91% (December 2013: 28000or 92% of total membership), pensioners7% or 1881 (December 2013:6% or 2000) and the balance was made up of beneficiaries and deferred members (See Table 2 and Figure 1, below).

Table2: Membership for Insurer Self-Administered Pension Funds for the year ended 31December2014

Insurer	**Active members**			**Deferred Pensioners**			**Former members/Pensioners**			**Widows & Others**			**Exits**			**Total Membership**		
	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth
First Mutual	5240	3744	-29%	-	-	0%	23	0	-100%	18	0	-100%	-137	-152	11%	5281	3744	-29%
Old Mutual	22591	22028	-2%	43	43	0%	1872	1881	-	461	461	0%	-501	-183	-63%	24967	24,413	-2%
Altfin	411	-	-100%	-		0%	-		0%	-		0%	-4		-1%	411	-	-!
Zimnat	143	218	52%	-	-	0%	97	0	-100%	0	0	0%	-	-	0%	240	218	-9%
Totals	28385	25,990	-8%	**43**	**43**	**0%**	**1992**	**1881**	**-6%**	**479**	**461**	**-4%**	**-642**	**-335**	**-48%**	**30,899**	**28,375**	-8%

Figure 1: Membership Statistics for Insured Self-Administered Funds for the year ended 31 December2014



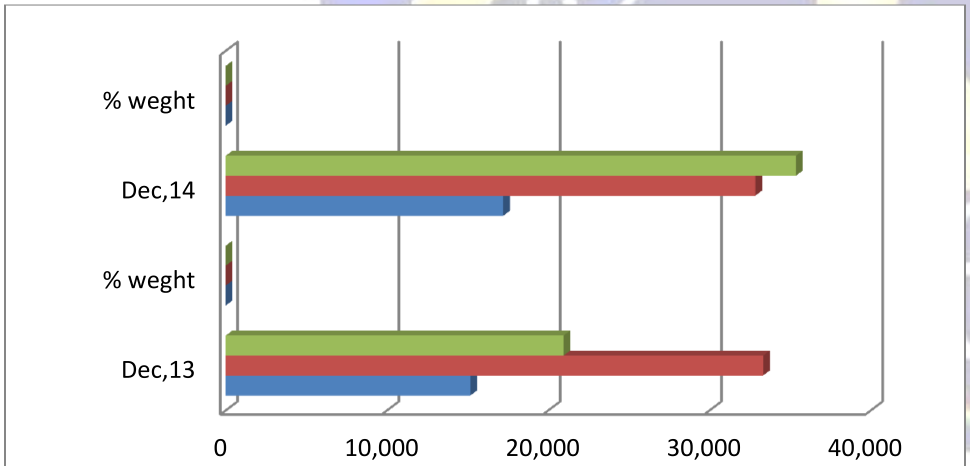
3.0 Contributions

Sponsoring employers contributed $33million or 38% of remitted contributions(December 2013:48% or $33million) whilst employees injected $17million or 20%(December2013:$15million or 22%) of total contributions. However contribution arrears closed the year 2014 at $35million or 41% of total contributions. Monitoring of pre-agreed payment plans is ongoing to ensure periodic contribution remittances to administrators (See Table 3 and Figure 2 below).

Table 3: Contributions Statistics for Insurer Self-Administered Funds for the year ended 31December2014

Insurer	Contributions(000)						Arrear Contributions(000)						Total Contributions(000)		
	Members			Employers			Members			Employers					
	Dec-13	Dec-14	Growth	Dec 2013	Dec 2014	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth
First Mutual	4,232	6,356	50%	10,161	9,075	-11%	-	-	-	13,400	26,357	97%	27,793	41,788	50%
Old Mutual	10,491	10,577	1%	22,646	23,301	3%	-	-	-	7,525	8,979	19%	40,662	42,857	5%
Altfin	289	-	0%	258	-	-	-	-	-	26	-	-	571	-	-
Zimnat	164	287	75%	259	463	79%	-	-	-	-	25	-	423	775	83%
Totals	15,176	17,220	**13%**	33,324	32,839	-1%	-	-	-	20,951	35,361	69%	69,451	85,420	23%

Figure 2: Contribution Statistics for Insurer Self-Administered Funds for the year ended 31 December2014 (000)



	Dec,13	% weght	Dec,14	% weght
Arrear Contr	20,951	30%	35,361	41%
Employers	33,324	48%	32,839	38%
Members	15,176	22%	17,220	20%

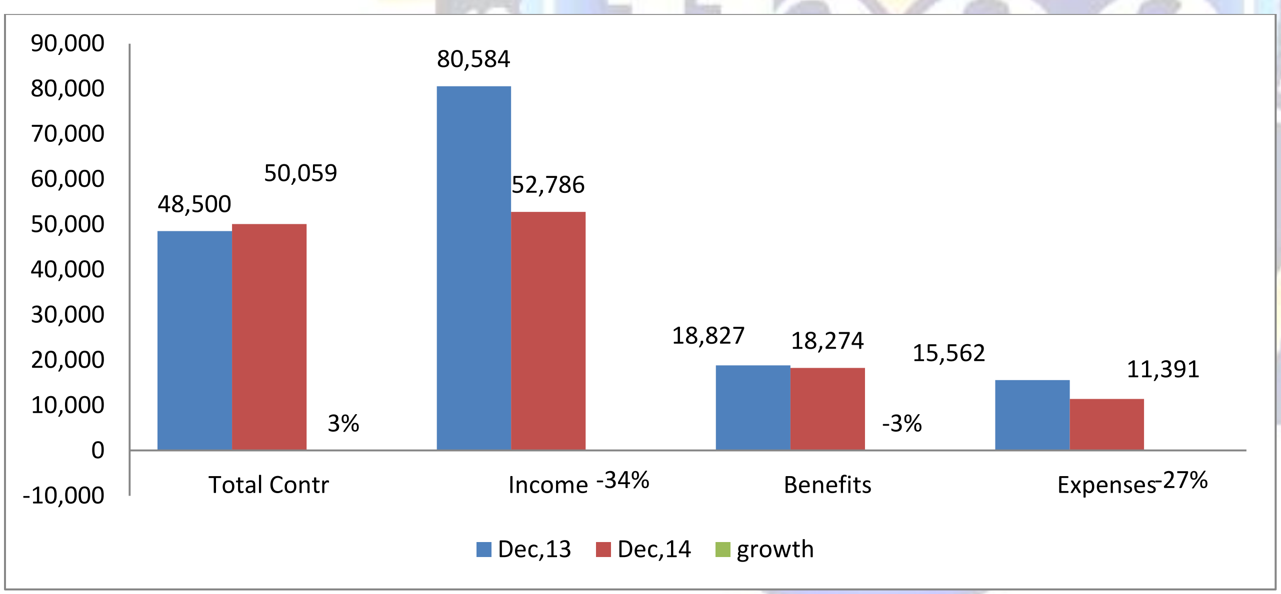
4.0 Income and Expenditure

For the current reporting period, insurers reported total income of $53million (December 2013:$81million) implying a challenging investment environment. The expense to total income ratio was 22%, a 3% rise from the previous year whilst the cost to contribution ratio fell by 9% to 23%. To this end, IPEC continues to engage funds to minimize costs to increase and improve member values.(See Table 4 and Figure 3 below).

Table 4: Income and Expenditure per InsurerSelf-Administered Funds for theyear ended 31 December 2014

Insurer	Total Contributions(Excl arrears) 0			Total Income (000)			Total Paid Benefits(000)			Expenses(000)			(Expenses/Contributions)%			(Expenses/Total Income)%		
	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth
First Mutual	14,393	15,431	7%	15,961	16,061	1%	2,571	2,724	6%	3,598	4,000	11%	25%	26%	1%	23%	25%	-26%
Old Mutual	33,137	33,878	2%	63,465	35,599	-44%	16,130	15,365	-5%	11,918	6,509	-45%	20%	19%	-1%	19%	18%	-5%
Altfin	547	0	-100%	613	-	#VALUE!	2	-	-	7	-	-	1%	-	0%	1%	-	0%
Zimnat	423	750	77%	545	1,126	107%	124	185	49%	39	882	2162%	9%	118%	0%	7%	78%	71%
Totals	**48,500**	50,059	3%	80,584	52,786	-34%	18,827	18,274	-3%	15,562	11,391	-27%	**32%**	23%	**-9%**	**19%**	22%	**3%**

Figure 3: Income and Expenditure for Insurer Self-Administered Funds for the year ended 31December2014 ($000)



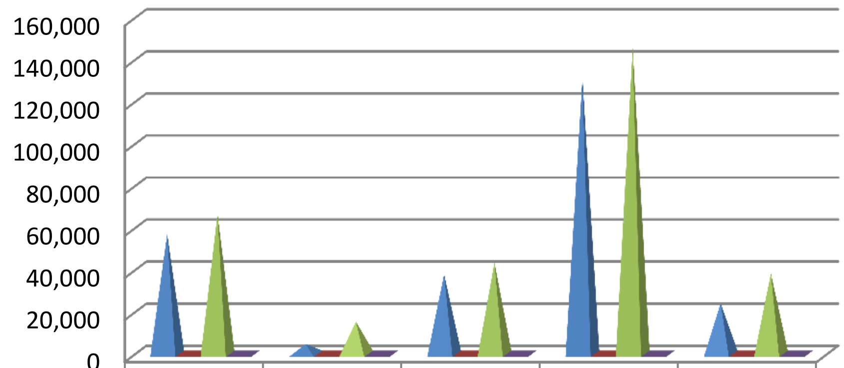
5.0 Fund Assets

As at 31 December 2014, insurer administered funds held assets in ;properties -22% or $67million(December 2013:22% or $57million), equities -47% or $146million(December 2013:52% or $131million), money market -14% or $43million(December 2013:15% or $38million) and other assets -$38million or 12%(December 2013: 9% or $24million).Prescribed assets uptake increased from 2% in 2013 to 5% in 2014.This could be attributed to availability of bond assets on the market, regulatory intervention and favourable returns averaging 8-10% per annum. (See Table 5 and Figure 4, below).

Table 5: Fund Asset Statistics at Market Value for Insurer Self-Administered Funds as at 31 December 2014

Fund Name	Immovable Property$(000)			Prescribed Assets$(000)			Money Market Securities$(000)			Capital Market Securities$(000)			Other$(000)			Total$(000)		
	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec 13	Dec 14	Growth	Dec-13	Dec-14	Growth
First Mutual	3,517	10,306	193%	521	507	-3%	78	3,894	4892%	18,636	23,152	24%	15184	26,409	74%	37,936	64,268	69%
Old Mutual	53,556	56,259	5%	4,057	14,489	257%	37,112	38,682	4%	110,352	120,853	10%	8878	11,072	25%	213,955	241,355	13%
Altfin	3	*	-	37	*	-	733	*	-	716	-	-	41	*	-	1,489	*	--
Zimnat	-	-	-	31	276	790%	-63	845	-1441%	1,689	1542	-9%	5	770	15300%	1,662	3,433	107%
Totals	57,076	66,565	17%	4,646	15,272	229%	37,860	43,421	15%	131,393	145,547	11%	24,067	38,251	59%	255,042	309,056	21%

Figure 4: Fund Assets at Market Value for Insurer Self-Administered funds as at 31 December 2014



	Property	P.Assets	Money Mkt	Capital Mkt	Other
Dec,13	57,076	4,646	37,860	131,393	24,067
% weight	22%	2%	15%	52%	9%
Dec,14	66,565	15,272	43,421	145,547	38,251
% weight	22%	5%	14%	47%	12%

SECTION C:

FUND ADMINISTRATORS

1.0 The Number of Fund Administrators

This report is based on 133 funds spread among four administrators (See Table 1, below).

Table 1: Fund Administrators

Fund Administrator	Dec 13	Dec 14	Increase/Decrease
Minerva Risk Advisors	58	57	(1)
Comarton Consultants	28	27	(1)
Marsh	45	45	0
ZIB	4	4	4
TOTALS	**135**	**133**	**(2)**

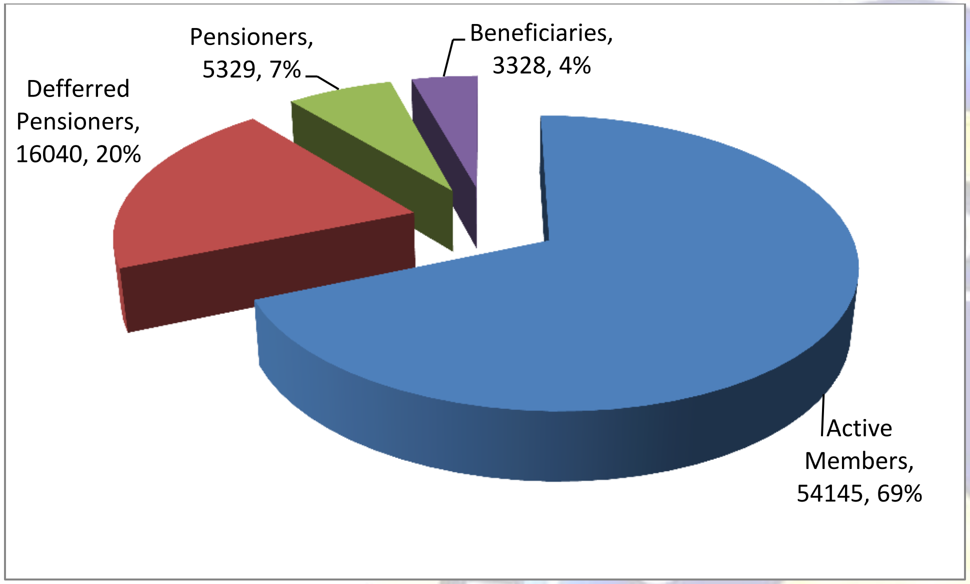
2.0 Pension Fund Membership

For the year under review, the four fund administrators reported total fund membership of 79000.The active members weighed up to 69% or 54 000(December 2013:64 000 or 79%) of total membership, pensioners and beneficiaries numbered 9000 or a 11% share (December 2013:14 %or 11000) whilst deferred pensioners constituted the balance of 20%(See Table 2 and figure 1 below).

Table2:MembershipforFund Administrator Self-Administered Funds for theyear ended 31December 2014

Administrator	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth
Minerva	32,292	23,160	-28%	654	10,875	1563%	1,402	-	-	818	0	-100%	-1,694	-2,623	55%	35,166	34,035	-3%
Comarton	14,621	14,738	1%	516	517	0%	2,130	2,127	0%	1,760	1,723	-2%	-231	-385	67%	19,027	19,105	0%
Marsh	16,958	15,796	-7%	4455	4,648	4%	3,338	3,196	-4%	1,805	1,600	-11%	-345	-333	-3%	26,556	25,240	-5%
ZIB	427	451	6%	0	0	0	-	6	-	5	5	0%	-	-462	-	432	462	7%
Totals	64,298	54,145	-16%	5625	16,040	185%	6,870	5,329	-22%	4,388	3,328	-24%	-2,270	-3,803	68%	81,181	**78,842**	-3%

Figure 1: Membership for Fund Administrator Self-Administered Funds the year ended 31December 2014



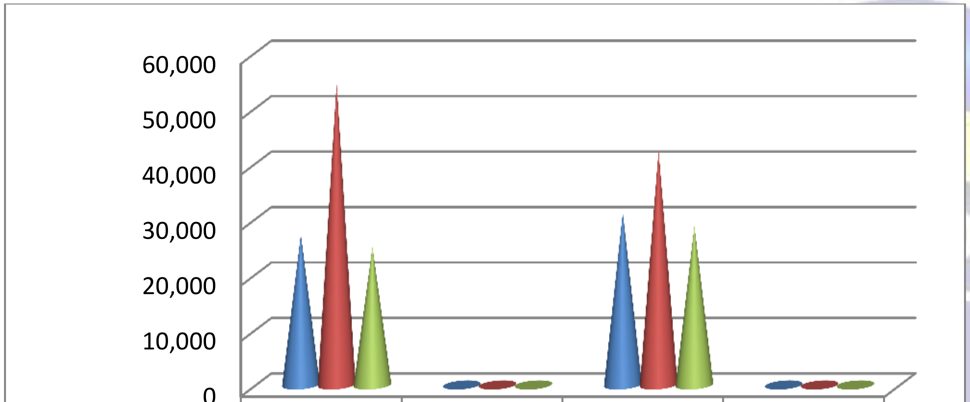
3.0 Contributions

For the year under review, fund administrators reported their contribution inflows as shown in Table 3 and Figure 2 below.

Table 3: Contributions Statistics for Fund Administrator Self-Administered Funds for the year ended 31 December 2014

Fund Name	Contributions(000)						Arrear Contributions(000)						Total Contributions(000)		
	Members			Employers			Members			Employers					
	Dec-13	Dec-14	Growth	Dec 13	Dec 14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth
Minerva	13,409	16,316	22%	22,981	23,536	2%	1,581	2,907	84%	4,300	2,370	-45%	42,271	45,129	7%
Comarton	2,328	2,502	7%	5,741	5,842	2%	1,026	643	-37%	11,216	13,292	19%	20,311	22,279	10%
Marsh	11,312	12,052	7%	25,688	12,925	-50%	0	0	-	6,794	9,439	39%	43,794	34,416	-21%
ZIB	100	260	160%	89	0	-100%	-	0	-	-	0	-	189	260	38%
Total	27,149	31,130	15%	54,499	42,303	-22%	2,607	3,550	36%	22,310	25,101	13%	106,565	102,084	-4%

Figure 2: Contributions Composition for Fund Administrator Self-Administered Funds for the year ended 31 December 2014



	Dec,13	% weight	Dec,14	% weight
Members	27,149	25%	31,130	30%
Employers	54,499	51%	42,303	41%
Arrear Contr	24,917	23%	28,651	28%

Active fund members contributed $31million or 30% of the total contributions (December 2013:$27million or 25%) whilst employers contributed $42million or 41 %(December 2013:$54 million or 51%).

For the year ended 31 December 2014, contribution arrears constituted $29million or 25% of total contributions (December 2013:23% or $25million) indicating challenges in paying statutory dues timeously.

4.0 Income and Expenditure

For the year under review, total contributions and total income received by fund administrators were $73million and $102 million respectively against expenses of $27million .This resulted in cost to contribution and expense to total income ratio of 36% and 26% respectively. Action may be taken in terms of the law against administrators whose costs remain high.

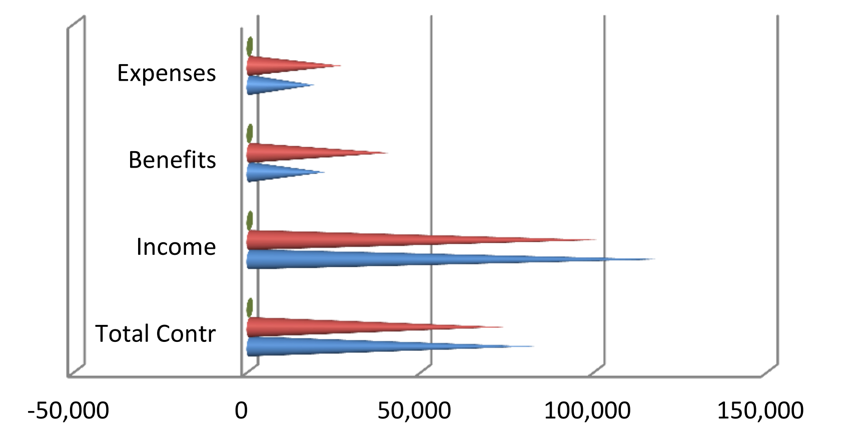
Benefits paid were in the sum of $41 which was an increase of 86% from year 2013.(See Table 4 and Figure 3 below).

Table 4: Income and Expenditure for Fund Administrator Self-Administered Funds for the year Ended 31 December 2014

Fund Name	Total Contributions(Excl arrears)(000)	Total Income (000)	Total Paid Benefits(000)	Expenses(000)	(Expenses/Contributions)%	(Expenses/Total Income)%

	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth
Minerva	36,769	39,852	8%	54,751	50,984	-7%	9,877	18,545	88%	5,990	11,397	90%	16%	29%	13%	11%	22%	11%
Comarton	8,069	8,344	3%	19,323	14,287	-26%	3,594	4,611	28%	4,611	5,148	12%	57%	62%	5%	24%	36%	12%
Marsh	37,000	24,977	-32%	46,372	36,326	-22%	8,370	17,424	108%	8,152	9,951	22%	22%	40%	18%	18%	27%	9%
ZIB	189	260	38%	194	277	43%	9	0	-100%	9	10	11%	5%	4%	-1%	5%	4%	-1%
Totals	82,027	73,433	-10%	120,640	101,874	-16%	21,850	40,580	86%	18,762	26,506	41%	**23%**	36%	13%	**16%**	26%	**10%**

Figure 3: Income and Expenditurefor Fund AdministratorsSelf-Administered Funds for the year ended 31 December 2014(000)



	Total Contr	Income	Benefits	Expenses
growth	-10%	-16%	86%	41%
Dec,14	73,433	101,874	40,580	26,506
Dec,13	82,027	120,640	21,850	18,762

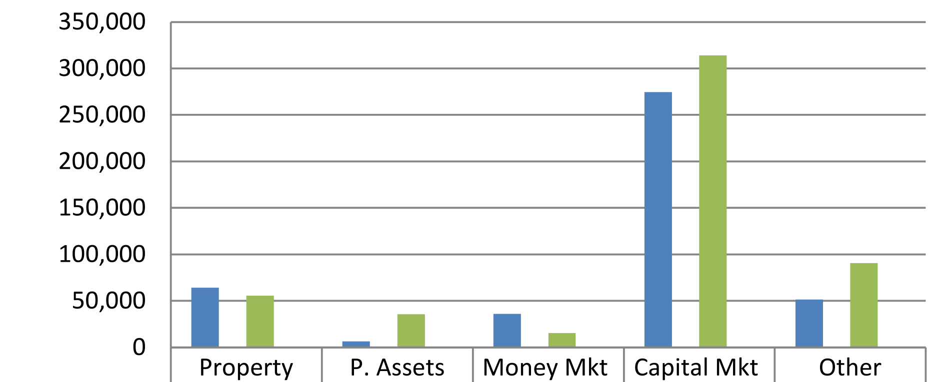
5.0 Fund Assets

For the current review period, fund administrators held 11% or $55million in properties (December 2013:15% or $64million), 61% or $314million in the capital markets (December 2013:63% or $275million), money market 3% or $16million(December 2013:8% or $36million)and the balance of 18% and 7% in other assets and prescribed assets respectively.(See Table 5 and Figure 4, below).

Table 5: Fund Assets at Market Value for Fund Administrator Self-Administered Funds as at 31 December 2014

Fund Name	Immovable Property(000)			Prescribed Assets(000)			Money Market Securities(000)			Capital Market Securities(000)			Other(000)			Total(000)		
	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec 13	Dec-14	Growth
Minerva	20,736	8,715	-58%	-	19,868	-	-	-	-	138,926	176,702	27%	31,723	51,231	61%	191,385	256,516	34%
Comarton	0	0	-	862	5,240	508%	15,017	15,537	3%	44,857	60,952	36%	-	-	#VALUE!	60,736	81,729	35%
Marsh	43,572	46,783	7%	5,530	10,619	92%	20,865	-	-	90,316	76,135	-16%	19,756	38,983	97%	180,039	172,520	-4%
ZIB	0	0	-	-	34	-	0	0	-	556	273	-51%	0	428	#DIV/0!	556	735	32%
Totals	64,308	55,498	-14%	6,392	35,761	459%	35,882	15,537	-57%	274,655	314,062	14%	51,479	90,642	76%	432,716	511,500	18%

Figure 4:Fund Assets at Market Value for Fund Administrator Self-Administered Funds as at 31 December 2014



	Property	P. Assets	Money Mkt	Capital Mkt	Other
Dec,13	64,308	6,392	35,882	274,655	51,479
%weight	15%	1%	8%	63%	12%
Dec,14	55,498	35,761	15,537	314,062	90,642
%weight	11%	7%	3%	61%	18%

6.0 Prescribed Assets

The industry's compliance levelon statutory paper was 7%. Players are required to participate as availability improves to avoid statutory penalties (See Table6 and 1).

Table 6: List of Approved Prescribed Asset Paper

Issuer	Bond Name	Bond Description	Tenure	Coupon	Issue date

				rate	
BNC	ENVICTUS: $20 Million	Financing BNC smelter restart project	5years	10%	November 2014
IDBZ	IDBZ Bond Series 1:$15Million	Funding prepaid meters	5 Years	8%	November 2014
IDBZ	IDBZ Bond Series 2:$50 Million	Funding power generation project	5years	8%	November 2014

7.0 Circulars and Statutory Instruments

Below is a summary of circulars and statutory instruments to guide the industry on various issues affecting the operations of the industry that were issued in 2014:-

Table 7: Issued Acts, Circulars and Statutory Instruments for the year ended 31 December 2014

Details	Subject Matter	Issue date
Circular 8 of 2014	Actuarial Standards for short term insurers	14 November 2014
Circular 7 of 2014	Actuarial standards for Valuation of Pension Funds	21 October 2014
Circular 5 of 2014	Preparation of Financial Statements	9 October 2014

8.0Acts and Statutory Instruments

For the quarter under review the Commission circulated the Act to guide the industry on various issues affecting the operations of the industry on anti-money laundering issues:-

Table 8: IssuedActs and Statutory Instruments for the year ended 31 December 2014

Details	Subject Matter	Issue date

Money Laundering and Proceeds Of Crime Act Chapt9:24	A Money Laundering and Proceeds Of Crime Act	October 2014

Conclusion

The report highlights the major challenges for the industry as arrear contributions that could have resulted in pension funds disposing properties to meet their obligations, high expense ratios that would result in a low buildup towards the final benefits. There is need for coming up with cost structures that compare favorably with returns on investment and other economic fundamentals. These cost structures should promote a balance between cost and benefits. In light of these challenges, pension funds should always seek to meet fund objectives such as income replacement through better investment decisions and adhering to good corporate governance practices. Most importantly, pension funds are encouraged stick to agreed service level agreements that are not prejudicial to the Fund.